

China Healthcare: Device VBP: #6: Capital Equipment VBP Kicks Off; Faster Category B Rollout but Emphasis on Reasonable Pricing

On July 14, the government released a notice on **capital equipment VBP** ([see the notice here](#)). The requirement to complete at least one procurement round for Category B equipment by year-end 2026 came earlier than expected, implying a faster rollout of detailed provincial procurement rules over the coming months. Meanwhile, the notice emphasizes reasonable pricing, technological appropriateness, product quality, and total life cycle costs—including consumables and maintenance—rather than focusing solely on upfront equipment prices.

Overall, **the notice is broadly consistent with our previous expectations regarding the scope of equipment VBP**, given the continued pressure on local government finances and hospital balance sheets through 2025. The fragmented nature of equipment procurement and the lack of unified national standards make provincial-level VBP more feasible than a centrally coordinated national rollout ([see our previous note](#)). We **await further details on the implementation rules to assess the potential impact on pricing and margins**. While the extent of pricing pressure will depend on the final bidding framework and individual company strategies, we expect **relatively moderate price cuts for equipment versus consumables**. That said, the phased rollout of equipment VBP could slowdown the near term bidding activities, as the provinces prepare for the VBP. For domestic market leaders, we believe **any pricing impact could be partially offset by market share gains under VBP and increasing overseas expansion**.

Key incremental changes include:

- **Category A equipment to be subject to national-level VBP.** Advanced radiation therapy equipment, including MR-Linac and X-ray stereotactic radiosurgery systems (e.g., CyberKnife), will be included under centrally organized VBP managed by the NHC. In contrast, highly customized systems that require supporting infrastructure construction and device-by-device regulatory approval—such as heavy-ion and proton radiation therapy systems—are temporarily excluded from the current VBP framework.
- **Accelerated rollout of Category B equipment VBP at the provincial level.** Each province is required to complete **at least one procurement round for Category B equipment by year-end 2026**. The initial scope includes PET/MR, PET/CT, laparoscopic surgical robots, and conventional radiotherapy equipment, with plans to gradually expand coverage to other categories characterized by high capital intensity and limited market competition. In principle, procurement

Chris Pan, CFA
+852-2978-7993 | chris.pan@gs.com
Goldman Sachs (Asia) L.L.C.

Ziyi Chen
+852-2978-0526 | ziyi.chen@gs.com
Goldman Sachs (Asia) L.L.C.

Tianyi Yan
+86(21)2401-8609 |
tianyi.yan@goldmansachs.cn
Goldman Sachs (China) Securities
Company Limited

Michael Zheng
+86(21)2401-8928 |
michael.zheng@goldmansachs.cn
Goldman Sachs (China) Securities
Company Limited

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exercises should be conducted at least once annually in 1H, with greater frequency where necessary. By end-June 2027, each province must designate at least one prefecture-level city or municipality to conduct a pilot program and complete one procurement round.

- **Greater emphasis on reasonable pricing and value-based procurement.** The notice reiterates that the configuration of the medical equipment and procurement should be aligned with hospitals' actual needs while balancing quality, price, and service in procurement evaluations. Importantly, the policy places considerable emphasis on achieving "high quality at a reasonable price" rather than pursuing the lowest acquisition cost. The guidance seeks to leverage VBP to eliminate the unreasonable pricing inflation while incorporating life cycle cost considerations—including consumables, maintenance, and after-sales service—into evaluation frameworks. This suggests a more holistic approach to procurement and may help mitigate the risk of excessive price competition or "race-to-the-bottom" bidding behavior.

Quick refresher on the definitions of Category A and Category B capital equipment

- Categories A and B are administrative classifications used by regulators for procurement approval, quota management, and allocation planning. They are distinct from the Class I, II, and III medical device classifications, which are based on product risk profile and determine the level of NMPA regulatory oversight. 1) **Category A equipment** includes advanced radiotherapy systems, heavy-ion and proton therapy systems, and other large-scale medical devices with an initial single-unit purchase price of **Rmb50mn or above**. 2) **Category B equipment** includes PET/MR, PET/CT, laparoscopic surgical robots, and conventional radiotherapy equipment, such as medical linear accelerators (LINAC), TomoTherapy systems, and Gamma Knife systems, as well as other large medical devices with an initial single-unit purchase price of **Rmb30–50mn**.

Implications for our coverage

- **Surgical robots:** We believe quota release for next cycle remains the more important determinant of domestic demand than pricing. Lower equipment prices are unlikely to drive meaningful volume growth while hospital purchases remain constrained by installation quotas. For our covered names, overseas markets have increasingly become the primary growth driver for both MedBot and Edge Medical (See our previous [note](#)), while the domestic market continues to provide additional upside optionality.
- **Imaging equipment:** The latest PET-CT VBP framework is broadly consistent with our previous expectations, reaffirming a provincial-level procurement approach without introducing a nationwide VBP mechanism for PET-CT. As such, we do not expect a material change to the competitive landscape and believe United Imaging's leading market position in the segment should remain intact (See Tianyi's [note](#)).

VBP tracker

Exhibit 1: VBP for consumables likely to see full coverage by YE26, likely extending to capital equipment

As of Jul 16, 2026

	2019	2020	2021	2022	2023	2024	2025	2026	# of provinces		2019	2020	2021	2022	2023	2024	2025	2026	# of provinces
Cardiovascular										Surgical instruments/ consumables									
Drug eluting stent	1	31							31	Stapler	7	25	16	6					31
PTCA Balloon	1	9	16		18				31	Hernia surgical meshes	6	6	11	6					27
Drug-coated balloon		8	17					31	31	Ultrasonic scalpel	1	12	3	15	15				31
Pacemaker	1	3	24	4					31	Absorbable ligation clip			16	1	31				31
Electrophysiology (RF ablation)				27	3			1	30	Non-absorbable ligation clip		4		20	31				31
PFA guide wire								1	1	Dural patch	2	3	11	6		20+			20
PTCA Guidewire&Catheter			23	17	8				31	Trocar	1	2	1	2					6
Intravascular ultrasound						31			31	Breast biopsy probe						31			31
Heart occluder device					20	1	31		31	Urological interventional consumables							31		31
Coronary balloon					19	19		16	20	Ophthalmology									
Thoracic and abdominal aortic stent							1		1	Intraocular lens (IOL)	2	24	23	8	31				31
Aneurysm clip					23		3		26	Ortho-K				16					16
TAVR							20		20	Dental									
Ablation electrode					1	1	23		23	Dental implant			4	31					31
Orthopedics										Orthodontic bracket & clear aligner	1			15					16
Hip/Knee implant	1	4	31						31	IVD reagent									
Spine implant						1	31		31	Biochem				21	24	27			27
Trauma implant			1	12	20	29			31	CLIA reagent			1		25	28			28
Sport Medicine								31	31	Bronchoscopy intervention									
Neurointervention										Tracheal & Bronchial stent					14		1+N		15+N
Emboic coil			1	23	2	10			31	Other Bronchoscopy Consumables							1+N		1+N
Intracranial thrombectomy stent					11	1			12	Other consumables									
Guide wire			1	18				29	30	Ureteral stent					1		26		27
Neurosurgical consumables						22			22	High-frequency electrosurgical unit							29		29
Balloon dilatation catheter							27		27	Neutral electrode							29		29
Dense-mesh stent						26	2		28	TCM acupuncture needles					1	1	25		26
Intracranial balloon							27		27	Insulin pen									9
Cerebrospinal fluid shunt system					23		1		24	Indwelling needle	2	9	21				20+		31
Equipment & others										Hemodialyzer	1	7	20	22	5				27
Category B large equipment		1	2	3	1	1	1		4	Cochlear implant				19		31			31
Ultrasound/CT/MRI					1	1	12		12	Medical film/adhesives	7	1	1				20+	20+	20+
Patient Monitoring & Life Support					1		1		2	Hemostatic materials					15		21+		20+
Peripheral intervention										Disposable biopsy needle		1	16						16
Peripheral vascular stent							31		31	Pre-filled flush		2	16			12			28
Intravascular balloon catheter							27		27	Pressure Pump	4	1		15	1		15+N		21
Drug-coated balloons				16	1		27	31	31	Incision Protector	4							4	4
Emboic coil							11		11										
Guide catheter		1	17				27	29	30										
Vena Cava Filter		4					23		24										

Numbers refer to # of provinces that announced/implemented VBP; N denotes the number of provinces to be announced.

Source: National/Regional Healthcare Security Administration

Exhibit 2: Dental implant renewal VBP started in July; expecting additional announcements towards year end 2026

Date of announcement	Product categories	Covered regions	Domestic companies	MNCs
Jul-26	Dental implant	Sichuan-led VBP renewal, covering all provinces/regions	BLBC, Bioconcept, Weigao, etc.	Straumann, Anthogyr, Adin, Alpha-Bio, Zimmer, Osstem etc.
Jun-26	Medical adhesives (cyanoacrylate-based)	Tianjin-led 3+N alliance, GSe 20+ provinces/ regions	Weigao, Compont, Success Pharmaceutical, etc.	J&J, B. Braun
May-26	Pressure pump	Inner Mongolia-led regional VBP	Lepu Medical, MicroPort, Shanghai Kindly / KDL, Shenzhen Antmed, Beijing Demax, etc.	Medtronic, Boston Scientific, Cook, B. Braun, Abbott, etc.
Mar-26	Incision Protector	Shangdong-led regional VBP, 4 provinces	Kangji Medical, Weigao, Bluesail Surgical, etc.	Applied Medical, Medtronic, J&J, etc.
Mar-26	Bronchoscopy intervention: Tracheal & Bronchial stent, Airway balloon dilation catheter, Electronic bronchoscope/ imaging catheter, etc.	Hunan-led regional VBP	Microtech, Aohua Endoscopy, SonoScape, etc.	Boston Scientific, Olympus, Medtronic, Cook, etc.
Mar-26	Coronary balloon	Henan-led regional VBP, 16 provinces/ regions	Lepu, MicroPort Rhythm, Sinomed, Brosmed, DK Medtech, etc.	Boston Scientific; Nipro
Mar-26	Snare devices, Peripheral vascular constraint-type balloon dilation catheter, Powered irrigation device (orthopedic and trauma surgery)	Hebei-led regional VBP	Zylox-Tonbridge, Acotec, Lepu, BrosMed, Shunmei, Double Medical, etc	Medtronic, Boston Scientific, Cook, Becton Dickinson, Stryker, etc.
Feb-26	Neurointerventional microcatheter, Peripheral interventional microcatheter, Pacemaker consumables	Zhejiang-led regional VBP, 27/29 provinces/ regions	MicroPort NeuroTech, HeartCare, Zylox-Tonbridge, Peijia Medical, Shunmei, Lepu, MicroPort CRM, etc.	Medtronic, Abbott, Boston Scientific, Stryker, Terumo, Biotronik, etc.

Source: Regional healthcare security administration

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- China Healthcare: Diagnostics and Clinical Labs: IVD regional VBP final result of avg 51% cut in line with prior market expectations (Jan 2, 2024)
- China Healthcare: Diagnostics and Clinical Labs: Biochemistry reagent volume-based procurement draft (Oct 14, 2022)

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- China Healthcare: Medical Devices: Encouraging final results for Spine VBP released; potentially sets positive tone for future rounds (Sep 28, 2022)
- China Healthcare: Medical Devices: Mixed signs from Spine VBP's latest bidding rule; eyes on final result on Sep 27th (Sep 13, 2022)
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Contributing Authors: Chris Pan, CFA Goldman Sachs (Asia) L.L.C., Ziyi Chen Goldman Sachs (Asia) L.L.C., Tianyi Yan Goldman Sachs (China) Securities Company Limited, Michael Zheng Goldman Sachs (China) Securities Company Limited.

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